SMALL BUSINESS BASICS · CANADA

GST/HST Basics

Register, charge, claim and file sales tax without the guesswork

A plain-language guide for Canadian small-business owners

First edition · November 2026

GST/HST Basics — Register, charge, claim and file sales tax without the guesswork

First edition · November 2026. © 2026. All rights reserved. You may print this guide and copy the worksheets and templates for use in your own business. Please do not resell or redistribute the guide itself.

Important. This guide is general information for Canadian small-business owners. It is not legal, tax, accounting, or financial advice, and it does not create a professional relationship of any kind. Rules, rates, forms, and software features change. Before you act, check the official source named in the guide and, where the stakes are real, talk to a qualified professional who knows your situation.

Nothing in this guide is tax advice. GST/HST rules, rates and deadlines are set by the Canada Revenue Agency and can change, so confirm anything you act on at canada.ca/revenue-agency or with a qualified accountant.

No result is promised. How useful any idea in this guide turns out to be depends on your business, your customers, your market, and how you apply it.

Product and company names mentioned are trademarks of their respective owners. They are used for identification only. This guide is independent and is not sponsored, endorsed, or affiliated with any company, government body, or software product it mentions.

Contents

Before you start
- Please read this: this is not tax advice

GST and HST in plain language
- Who pays and who collects
- Rates by province
- Place of supply: which rate do you charge?

Do you have to register? The small supplier rule
- The two tests, worked through
- Registering within 29 days

Registering: when, why and how
- Should you register voluntarily?
- How to register, and your number

Charging GST/HST correctly
- What to show on an invoice
- Tax-included pricing
- Taxable, zero-rated and exempt sales

Input tax credits: claiming back what you pay
- What you can generally claim
- The documentation tiers

Filing, paying and setting money aside
- Reporting periods, filing and paying
- Instalments and the Quick Method
- Setting tax money aside
- Keeping records

Mistakes, fixes and getting help
- If you are late or made an error
- If CRA writes to you
- When to hire an accountant

Templates and worksheets

Checklist

Where to learn more

Before you start

GST/HST is the sales tax almost every Canadian business runs into sooner or later. It can start as a vague worry: “Am I supposed to be charging tax? How much? What if I got it wrong?” This guide turns that worry into a clear set of steps.

It is written for sole proprietors and small teams: trades, cleaners, salons, consultants, bookkeepers, photographers, landscapers, tutors, food trucks and small shops. You do not need any accounting background. You will learn what GST and HST are, the rates by province, the small supplier rule, whether and how to register, how to show tax on invoices, how input tax credits work, how to file and pay, how to set money aside, what records to keep, and what to do if something goes wrong.

The examples use Nova Scotia businesses, but the ideas work anywhere in Canada and the guide points out where rules change by province. The Templates chapter holds a registration decision worksheet, a quarterly revenue tracker, an HST set-aside worksheet, a filing-day checklist and invoice examples. Read the chapters first, then print the worksheets or copy them into a spreadsheet and come back to them each quarter. All business names, people, amounts and registration numbers in the examples are made up.

Please read this: this is not tax advice

> **WATCH OUT**
>
> This guide is general information, not tax, legal or accounting advice. GST/HST rules are set by the Canada Revenue Agency (CRA). They are detailed, they have exceptions, and they change. Every rate, threshold and rule in this guide comes with a reminder to confirm it at **canada.ca/revenue-agency**. Before you make a decision that affects what you charge, what you claim or what you file, check CRA’s current guidance or talk to an accountant who knows your business.

You will see short reminders like this whenever you are close to a real tax decision. They are not filler. With sales tax, a small misunderstanding can turn into a bill months later, so it is worth checking.

GST and HST in plain language

GST is the Goods and Services Tax, a federal tax charged on most goods and services sold in Canada. **HST** is the Harmonized Sales Tax. In some provinces, the federal GST and the provincial sales tax are combined into one tax with one rate, and that combined tax is HST. Nova Scotia is an HST province.

For a small business, GST and HST work the same way: you register once with CRA, charge the right rate, file one return and pay CRA.

Who pays and who collects

GST/HST travels along the chain of sales and lands on the final customer. **Your customer pays it** on top of your price. **You collect it**: once you are registered, you hold that tax on CRA's behalf, and it is not your income. **You get back what you paid**: when you buy things for your business you pay GST/HST too, and as a registrant you can generally claim that back through **input tax credits** (ITCs). On each return, **you send CRA the difference** between what you collected and what you can claim back. If you paid more than you collected, CRA may owe you a refund.

> **EXAMPLE**
>
> Say you run Harbourview Window Cleaning in Dartmouth and you are registered. You clean a café's windows for $500.00 and add 14% HST, so the café pays you $570.00. The $70.00 is HST you collected for CRA. That week you also buy $200.00 of cleaning supplies and pay $28.00 in HST. On your return, you report the $70.00 collected, claim the $28.00 as an ITC, and pay CRA the $42.00 difference.

The key mindset shift: **the tax you collect is never your money.** It only passes through your bank account on its way to CRA.

Rates by province

These are the GST/HST rates at the time of writing. Rates change, so check CRA's current GST/HST rates page before you set up your invoices.

Where the sale is made	Tax	Rate
Nova Scotia	HST	14% HST (since April 1, 2025)
New Brunswick, Newfoundland and Labrador, Prince Edward Island	HST	15% HST
Ontario	HST	13% HST

Where the sale is made	Tax	Rate
All other provinces and the territories	GST	5% GST

Nova Scotia's rate dropped from 15% HST to 14% HST on April 1, 2025. If you set up your invoice software or price lists before then, double-check that they use the current rate.

> **NOTE**
>
> Some GST provinces also have their own separate provincial sales tax: British Columbia, Saskatchewan and Manitoba each have a PST, and Quebec has the QST. Those are separate systems with their own registration and rules. If you sell into those provinces, check with that province as well as with CRA.

Place of supply: which rate do you charge?

This part is easy to miss. The rate you charge generally depends on **where the sale is made**, not where your business is. CRA calls these the **place-of-supply rules**. For services, the place of supply is often where your customer is: a Halifax bookkeeper with a client in Toronto would generally charge Ontario's 13% HST, and with a client in Calgary would generally charge 5% GST. For goods, where the goods end up is usually a key factor, so a Lunenburg potter shipping a bowl to Moncton would generally look at New Brunswick's rate.

These are general patterns only. The real rules have details for services connected to land, events, services delivered in more than one province, and sales outside Canada. If you sell across provincial lines often, read CRA's place-of-supply guidance or ask an accountant to check your setup once. It is much easier to get this right at the start than to fix a year of invoices. Most invoicing tools let you set a tax rate per customer, so set it at the same time you add each out-of-province customer.

> **KEY POINTS**
>
> - GST is federal; HST combines GST with a provincial portion. Nova Scotia charges 14% HST at the time of writing.
> - Your customer pays the tax, you collect it, and you send CRA what you collected minus what you can claim back. It is never your income.
> - The rate generally depends on where the sale is made, which for services is often where your customer is. Check CRA's current rates page.

Do you have to register? The small supplier rule

Very small businesses usually do not have to register for GST/HST right away. CRA calls them **small suppliers**. This chapter explains the rule with worked examples, so you can tell where you stand.

At the time of writing, you are generally a small supplier, and do not have to register, if your total **taxable revenues** are **$30,000 or less** both over the **last four consecutive calendar quarters** and in **any single calendar quarter**. Confirm the current threshold and rules at canada.ca/revenue-agency.

Calendar quarters are January to March, April to June, July to September, and October to December. **Taxable revenues** are sales that are taxable under the GST/HST rules; check CRA's definition if part of your income is exempt. If you control more than one business, CRA may require you to add together the revenues of **associated businesses**; ask an accountant.

> **WATCH OUT**
>
> Some businesses, such as taxi and rideshare drivers, must register no matter how small they are. Check CRA's list before you rely on the small supplier rule.

The two tests, worked through

Test one: the four-quarter test

At the end of every quarter, add up your taxable revenues for the last four calendar quarters. If the total goes over $30,000, you stop being a small supplier at the **end of the month after the quarter** in which you went over. You start charging GST/HST at the **beginning of the following month**.

EXAMPLE

Say Maya runs a portrait photography business in Halifax. Her taxable revenue by quarter:

Quarter	Revenue	Four-quarter total
Oct–Dec 2025	$6,000.00	—
Jan–Mar 2026	$7,000.00	—
Apr–Jun 2026	$8,500.00	—
Jul–Sep 2026	$9,200.00	$30,700.00

No single quarter is over $30,000, but her four-quarter total at the end of September 2026 is $30,700.00. She stops being a small supplier at the end of the month after that quarter, October 31, 2026, and starts charging HST on November 1, 2026. She does not go back and charge tax on her earlier sales, and her first taxable sale on or after November 1 starts her registration clock.

Test two: the single-quarter test

This test is stricter. If your taxable revenues go over $30,000 **in a single calendar quarter**, you stop being a small supplier **on the sale that put you over**, and you charge GST/HST on that sale.

EXAMPLE

Say Ravi runs a landscaping company in Bridgewater and lands a large commercial contract. His April–June 2026 sales:

Date	Sale	Quarter total so far
April	$9,000.00	$9,000.00
May	$12,000.00	$21,000.00
June 1	$8,000.00	$29,000.00
June 10	$4,500.00	$33,500.00

The June 10 sale pushes the quarter over $30,000, so that invoice needs HST: $4,500.00 plus $630.00 at 14% HST, for $5,130.00. His earlier sales that quarter did not need tax.

The single-quarter test has no grace period, so if one large job could push you over, check your numbers before you invoice it, not after.

TIP

The quarterly revenue tracker in the Templates chapter makes both tests quick to check. At the end of each quarter, write down that quarter's taxable revenue and add up the last four. When you are getting close, keep a running total within the quarter too, and check it before each large invoice. Pick an early-warning level that suits the size of your typical job, for example $20,000 in a quarter, and set a calendar reminder for the first week of every January, April, July and October.

Registering within 29 days

Once you are no longer a small supplier, you must register within **29 days** of making your first taxable sale as a non-small supplier. Confirm this timing at canada.ca/revenue-agency. For Maya, the clock starts with her first taxable sale on or after November 1, 2026; for Ravi, with the June 10 sale. Do not wait for day 28: you want your number before you send invoices that should include tax, so start the day you realize you have crossed the line.

NOTE

A real tax decision is close here. If you are near the threshold, or your situation does not match these examples neatly, confirm with CRA or an accountant before you act.

KEY POINTS

- At the time of writing, you are generally a small supplier if your taxable revenues are $30,000 or less over the last four calendar quarters and in any single quarter.
- Four-quarter test: go over, and you stop being a small supplier at the end of the month after that quarter. Single-quarter test: you charge tax on the sale that put you over.
- Register within 29 days of your first taxable sale as a non-small supplier. Near the threshold or unsure? Confirm with CRA or an accountant.

Registering: when, why and how

If you have gone over the small supplier limit, registering is not optional. If you have not, you still have a choice, because voluntary registration is allowed.

Should you register voluntarily?

There is no right answer for everyone. It depends on who your customers are, what you spend, and how much paperwork you are willing to take on.

Reasons some owners register early: once registered, you can generally claim ITCs on the GST/HST you pay on business purchases from that point, which can add up if you are buying equipment, tools or software to get started. Registered business customers can usually claim back the tax you charge them, so adding tax may not change their real cost. And if you expect to pass $30,000 soon anyway, registering early lets you set up invoices and habits at a calm moment instead of in a rush.

Reasons some owners wait: individuals generally cannot claim the tax back, so adding 14% HST to a haircut, a lawn cut or a tutoring session means a higher price for the customer or a smaller margin for you. If you do not spend much on taxable supplies, there is not much to claim back. Registration also brings ongoing obligations: charging tax correctly, filing returns on schedule even when there is nothing to report, and keeping records for every claim. Finally, there are rules about when and how you can cancel a registration, so check them before you register "just to try it."

> **EXAMPLE**
>
> Say Jen is a freelance bookkeeper in Truro. Her clients are small businesses, most of them registered, and she is about to buy a laptop and software. Registering voluntarily would let her claim back the HST on those purchases, and her registered clients can generally claim back the HST she charges. Now say Dee runs a one-chair salon in Antigonish. Her clients are individuals and her supplies cost little. For her, registering early would mostly mean higher prices or a smaller margin, plus returns to file, and she might reasonably wait until she has to register.

These are examples, not recommendations. Use the registration decision worksheet in the Templates chapter, and talk to an accountant if you are unsure.

How to register, and your number

You register for a GST/HST account with CRA. If you do not already have a **Business Number** (BN), your business's main identifier with CRA, you will get one when you register. At the time of writing, CRA offers more than one way to register, including online; check canada.ca/revenue-agency for the current options. Generally, have ready your legal and operating names, your busi-

ness and mailing addresses, a description of what you sell, your Social Insurance Number if you are a sole proprietor, an estimate of your annual sales, and the date you want the registration to take effect.

> **WATCH OUT**
>
> Do not charge GST/HST before you are registered. If you are not sure what to do about sales made while you were waiting for your number, ask CRA or an accountant.

Your GST/HST account number has three parts: your **9-digit Business Number**, the letters **RT** (which identify the GST/HST program), and a **4-digit reference number**, usually 0001 for your first GST/HST account. Put together, it looks like this made-up example: **123456789 RT0001**. It goes on your invoices and receipts, because registered customers need it to claim back the tax you charge them.

Once you have your number, work through this short list:

- Update your invoice and quote templates to show your number and a separate tax line.
- Set the right rates in your invoicing software, including for out-of-province customers.
- Note your reporting period and your first filing and payment due dates.
- Open a separate bank account for tax money (see the chapter on filing and paying).
- Sign up for CRA's online services for businesses so you can see your account, file and pay online.
- Tell regular clients when you will start charging tax. There is a short client notice in the Templates chapter.

> **KEY POINTS**
>
> - Voluntary registration is allowed. It can make sense when your customers are mostly businesses or you have large startup costs, and less sense when they are mostly consumers.
> - Your GST/HST number is your 9-digit BN, then RT, then a 4-digit reference, like the made-up 123456789 RT0001.
> - Do not charge tax before you are registered, and update your invoices and software the day you are.

Charging GST/HST correctly

Once you are registered, every taxable sale needs the right tax, shown the right way.

What to show on an invoice

Your invoice should make three things clear: the price before tax, how much tax is charged, and your GST/HST number. Include your business name and GST/HST number, the date and an invoice number, the customer's name (and address for larger invoices), a description of the work or goods, your payment terms, the subtotal, a separate tax line showing the type (GST or HST) and rate, and the total. Your registered customers need certain details to claim ITCs, and the details required go up with the size of the sale (see the next chapter). If your template covers the largest tier, every invoice has what they need.

> **EXAMPLE**
>
> Kitchen backsplash installation: $1,800.00. HST at 14% (GST/HST no. 123456789 RT0001): $252.00. **Total: $2,052.00.** More examples, including out-of-province and tax-included versions, are in the Templates chapter.

Tax-included pricing

Some businesses prefer one price that already includes tax: a food truck menu, a market stall, a salon price list. That is generally fine as long as it is clear to the customer that tax is included. Write "HST included" next to the price or on the sign, and make sure the receipt shows how much tax is in the total. Check CRA's guidance on tax-included pricing for the details.

To find the tax inside a tax-included price, divide by (1 + the rate) and subtract. Say a Halifax food truck sells a lunch special for $11.40, HST included, at 14% HST: $11.40 ÷ 1.14 = $10.00 before tax, so $1.40 is HST. The trap is forgetting that part of every sale is tax. If you set a tax-included price of $10.00 because it is a nice round number, you keep about $8.77 of it at 14% HST. Do the math before you pick round numbers.

Taxable, zero-rated and exempt sales

Not everything is taxed the same way. GST/HST sorts sales into three broad groups.

Type	Do you charge tax?	ITCs on related costs?
Taxable	Yes, at the GST/HST rate	Generally yes
Zero-rated	Taxable, but the rate is zero	Generally yes
Exempt	No	Generally no

Taxable sales are the usual case: you charge the rate for where the sale is made. **Zero-rated** sales are taxable, but at a rate of zero. You add no tax to the bill, but because the sale is still technically taxable, you can generally claim ITCs on related costs. **Basic groceries** are a well-known example: a carton of milk or a bag of flour is generally zero-rated. **Exempt** sales are outside the GST/HST system. You do not charge tax, and you generally cannot claim ITCs on the costs of making those sales. **Many financial services** are a well-known example.

WATCH OUT

The lines between these groups are detailed and sometimes surprising. “Basic groceries,” for instance, has a specific meaning and does not cover everything sold in a grocery store. Do not guess. Check CRA’s guidance for your specific product or service, or ask an accountant, before you decide not to charge tax on something.

Put tax on your quotes and estimates too. A quote that says “$3,000.00” can leave a customer expecting to pay exactly that, while one that says “$3,000.00 plus HST (14% HST, $420.00), total $3,420.00” leaves no room for surprise when the invoice arrives.

If you sell a mix of taxable and exempt things, claiming ITCs gets more complicated, because you may only be able to claim the part of a cost that relates to taxable sales. That is a good point to bring in an accountant. Three everyday situations to set up correctly as well: if you discount a price before tax, tax applies to the discounted price; if you refund a customer, refund the tax too and record it; and for deposits, how and when tax applies depends on the situation, so ask CRA or your accountant once and write down the answer.

KEY POINTS

- Show the subtotal, a separate tax line with type and rate, your GST/HST number, and the total.
- Tax-included pricing is generally fine if you make it clear. To find the tax inside, divide by (1 + rate) and subtract.
- Zero-rated sales get a zero rate but still allow ITCs; exempt sales get no tax and generally no ITCs. Check CRA for your specific product or service.

Input tax credits: claiming back what you pay

Input tax credits (ITCs) are the part of GST/HST that works in your favour. Once you are registered, you can generally claim back the GST/HST you paid on purchases for your taxable business, as long as you have the right paperwork.

What you can generally claim

You can generally claim ITCs for GST/HST paid on things you buy to use in your commercial (taxable) activities: tools, equipment and supplies; a computer, phone or software for the business; rent for a shop or office; advertising; professional fees such as your accountant's; fuel and repairs for a business vehicle.

If something is used partly for business and partly for personal life, such as a phone or a car, you can generally claim only the business part, and some kinds of purchases have special rules. Check CRA's guidance before you claim the full amount on anything you also use personally. Purchases made before you registered are also treated differently; in some cases you may be able to claim for certain items you still have on hand when you register, so ask an accountant if you bought a lot before registering.

To keep claims easy to defend if CRA asks questions:

- Keep every receipt, paper or digital, and file it by month.
- Write a short note on anything that is not obvious ("propane for the market booth heaters").
- Record the tax amount separately in your books, not just the total.
- Never claim the same receipt twice. If you scan paper receipts, mark the originals once they are recorded.

The documentation tiers

To claim an ITC, you need a receipt or invoice with enough information on it, and how much depends on the size of the purchase. Under the Input Tax Credit Information Regulations, as updated in 2021, there are three tiers based on the total:

Total of the purchase	What the invoice needs (summary)
Under $100	Basic details, such as the seller's name, the date, the total, and the tax charged (or a note that tax is included)
$100 to under $500	The above, plus the supplier's GST/HST registration number

Total of the purchase	What the invoice needs (summary)
$500 or more	The above, plus your name as the buyer, the payment terms, and a description of what you bought

This table is a summary to help you spot missing details. CRA's guidance lists exactly what is required at each tier, so check it at canada.ca/revenue-agency before you rely on a receipt for a large claim. For larger purchases, ask for a proper invoice with your business name on it, not just a card-machine slip. It is far easier to ask at the counter than to chase the supplier months later.

EXAMPLE

Say a painter in Kentville buys a $640.00 ladder for the business. Because the total is $500.00 or more, the invoice should show the supplier's GST/HST number, the painter's business name, the payment terms and a description of the ladder. A card slip showing only the total would not be enough to support the ITC.

The same tiers apply in reverse. When your registered customers want to claim the tax you charged them, your invoice needs to show the right details. That is why your GST/HST number, the customer's name, a clear description and your payment terms belong on your invoices, especially for larger jobs.

KEY POINTS

- ITCs let registrants claim back the GST/HST paid on business purchases. Mixed-use items generally allow only the business part.
- Invoices must show more information as the total goes up: under $100, $100 to under $500, and $500 or more.
- Your own invoices should give your business customers the details they need.

Filing, paying and setting money aside

Once you are registered, you have a regular rhythm: collect tax, set it aside, record it, file a return and pay.

Reporting periods, filing and paying

Your **reporting period** is how often you file a GST/HST return: monthly, quarterly or annually. CRA assigns a default period when you register, based on your revenue, and in some cases you can ask to change it. Each period has a filing due date and a payment due date. Find yours in your CRA online account and put them in your calendar right away, with a reminder a week or two earlier. You generally have to file a return for every period, even if you had no sales and owe nothing (a "nil return"). Confirm with CRA.

On each return you report the GST/HST you **collected** (or should have collected), subtract the ITCs you are **claiming**, and the result is your **net tax**. If it is positive, you pay it. If it is negative, CRA may send you a refund after checking your return. (The window-cleaning example in the plain-language chapter shows the calculation.)

At the time of writing, CRA lets businesses file GST/HST returns electronically, and many registrants are required to file that way: through CRA's online services, compatible accounting software, or an accountant you authorize. You can generally pay through online banking or CRA's online services. Check canada.ca/revenue-agency for current options, leave a few business days for a payment to arrive, and keep every confirmation number.

> **WATCH OUT**
>
> Filing and paying are two separate things. Filing your return does not pay your balance, and paying does not file your return. Make sure both are done by their due dates.

Instalments and the Quick Method

If you file annually, CRA may require you to pay **instalments** during the year instead of paying the whole amount when you file. CRA's website explains when they apply and how much; missed instalments can lead to interest charges, so do not guess.

CRA also offers the **Quick Method of accounting** for eligible small businesses. Instead of adding up every bit of tax collected and every ITC, you remit a set percentage of your tax-included revenue. CRA sets those percentages, and they depend on things like the type of business. It can mean less bookkeeping; whether it means less tax or more depends on your own numbers. You need to be eligible and you need to choose it (CRA calls this making an election). This is a real tax decision: ask an accountant to run your last year both ways, and check CRA's current rules first.

Setting tax money aside

When a customer pays you $1,140.00, it lands in your account as one number, and it is easy to treat all of it as yours until the return is due. The fix is to separate it.

Open a second bank account used only for tax, and name it something like “HST: not my money.” Every time you get paid, or on a set day each week, work out the tax portion of what you received and move it there. Do not touch that account except to pay CRA. Annual filers have a full year of tax building up, so this matters even more for them.

> **EXAMPLE**
>
> Say Harbourview Window Cleaning collects $4,560.00 in a week, all with 14% HST added. $4,560.00 ÷ 1.14 = $4,000.00 before tax, so $560.00 is HST. The owner moves $560.00 to the tax account on Friday afternoon.

The cautious approach is to move the full tax collected and not subtract ITCs until you file, so any lower balance is a pleasant surprise rather than a shortfall. If you have a lot of claimable expenses you can move less, but be honest with yourself about how sure you are of those claims.

Keeping records

Keep records that support every number on your returns: invoices you issue, purchase receipts you claim ITCs on, bank and credit card statements, each return and payment confirmation, and CRA letters and notes from calls.

CRA generally requires you to keep books and records for **six years from the end of the last tax year they relate to**, and some records must be kept longer in certain situations. Confirm the current rules at canada.ca/revenue-agency. Electronic records are acceptable. CRA has rules for keeping electronic records and for scanning (imaging) paper records, and your records must be readable and available if CRA asks for them, so check CRA’s guidance before you shred any originals. A simple setup is one folder per year, one sub-folder per month, a clear file name for each receipt (“2026-09-14 Bayside Hardware 214.60”), and a backup kept away from your main computer.

> **KEY POINTS**
>
> - File a return every period, even a nil return. Filing and paying are separate steps.
> - Annual filers may owe instalments. Ask an accountant before choosing the Quick Method.
> - Move tax money to a separate account, and keep records for six years.

Mistakes, fixes and getting help

Paperwork mistakes happen. What matters is catching them early and fixing them properly. Here are common ones to check for in your own business:

- **Not tracking the small supplier threshold,** especially the single-quarter test, which has no grace period.
- **Charging tax before registering.** Wait until you have your number.
- **Using the wrong rate:** your home province's rate for an out-of-province customer, or an old rate after a change such as Nova Scotia's move to 14% HST.
- **Spending the tax** and coming up short at filing time.
- **Claiming ITCs without proper receipts,** or claiming personal purchases.
- **Skipping a nil return,** or filing without paying (or paying without filing).
- **Assuming something is exempt** without checking CRA's guidance.
- **Losing records:** a shoebox of faded receipts, or one laptop with no backup.

If you are late or made an error

If you have missed a due date, **file as soon as you can**, even if you cannot pay the full balance yet, and **pay what you can**. CRA can charge interest on unpaid amounts, and penalties may apply to late returns, so paying part now can reduce what builds up. If you cannot pay in full, **contact CRA** and ask about payment arrangements. Reaching out early can leave you more options than waiting for a letter. Check CRA's website for the current rules on penalties and interest.

If you find a mistake on a return you already filed, such as a missed sale or an ITC you should not have claimed, it can usually be corrected by asking CRA to change the return; check CRA's guidance on correcting a return. Larger or older problems, such as several periods of unreported tax, may be a case for CRA's **Voluntary Disclosures Program**, which exists so people can come forward to correct past non-compliance. Whether you qualify, and what relief may be available, depends on your situation and CRA's current rules.

> **WATCH OUT**
>
> If you are thinking about a voluntary disclosure, talk to an accountant or tax lawyer first. The details matter, and this guide cannot tell you whether your situation fits.

If CRA writes to you

A letter from CRA is not always bad news. It might confirm your registration, ask for more information about a return, or let you know about a balance. Whatever it says, do not set it aside. Read it the day it arrives and note any date by which you need to respond. Check that the letter is genuine

by contacting CRA through the numbers or sign-in pages listed on canada.ca/revenue-agency rather than through a phone number or link in an unexpected email or text. If you do not understand what it is asking, or it involves a large amount, call your accountant before you reply. Keep a copy with your records, along with notes of every call about it.

When to hire an accountant

You can handle GST/HST yourself, especially if your business is simple. Professional help is worth considering when you are close to the threshold and unsure where you stand; when you sell to customers in several provinces or outside Canada; when you sell a mix of taxable, zero-rated and exempt things; when you are weighing voluntary registration or the Quick Method; when you have vehicle, home office or other mixed-use costs; before you buy a large asset; and whenever you have missed returns, owe a large balance, or get a CRA letter you do not understand.

Ask whether they work with businesses like yours, how they charge, and whether they can file on your behalf. In Canada, the CPA (Chartered Professional Accountant) designation is one recognized credential, and a bookkeeper can handle much of the routine work. A useful habit: book a yearly review, bring your tracker and returns, and ask, “Is anything here likely to cause me trouble?”

KEY POINTS

- Common trouble spots: missed thresholds, wrong rates, spent tax money and missing receipts.
- If you are late, file as soon as you can, pay what you can, and contact CRA. Errors can usually be corrected, and the Voluntary Disclosures Program exists for larger past problems.
- Bring in an accountant for multi-province sales, mixed supplies, the Quick Method, or any CRA letter you do not understand.

Templates and worksheets

Print these pages or copy them into a spreadsheet. Every number in the examples is made up. Confirm current rates and rules at canada.ca/revenue-agency before you rely on them.

Registration decision worksheet

WORKSHEET

Part 1: Do I have to register?

Taxable revenue, last four calendar quarters combined: $_____

Highest single quarter of taxable revenue: $_____

Is either figure over $30,000? Must my type of business register regardless of size? _____

If Yes, date of my first taxable sale as a non-small supplier (register within 29 days): _____

Part 2: If I do not have to, should I register voluntarily?

Roughly how many of my customers are registered businesses? _____

Business purchases with GST/HST expected in the next 12 months, and tax I could claim back: $_____

How would adding tax affect my consumer customers? _____

Do I expect to pass the threshold within a year anyway? _____

My decision, and who I checked it with (CRA / accountant): _____

Quarterly revenue tracker

Fill in each quarter's taxable revenue, then add up the most recent four quarters. If that total, or any single quarter, goes over the threshold, see the small supplier chapter.

Quarter	Taxable revenue	Last four quarters total
Jan–Mar 20__	$_____	$_____
Apr–Jun 20__	$_____	$_____
Jul–Sep 20__	$_____	$_____
Oct–Dec 20__	$_____	$_____

Quarter	Taxable revenue	Last four quarters total
Jan–Mar 20__	$_____	$_____
Apr–Jun 20__	$_____	$_____
Jul–Sep 20__	$_____	$_____
Oct–Dec 20__	$_____	$_____

HST set-aside worksheet

WORKSHEET

Tax-included payments received this week: $_____

My tax rate as a decimal (for example, 0.14 for Nova Scotia HST at the time of writing): _____

Step 1. Payments ÷ (1 + rate) = amount before tax: $_____

Step 2. Payments − amount before tax = tax to set aside: $_____

Moved to tax account on (date): _____ **Next return due:** _____

Worked example: payments of $2,280.00 at 0.14. Step 1: $2,280.00 ÷ 1.14 = $2,000.00. Step 2: $2,280.00 − $2,000.00 = $280.00 to set aside. If you charge different rates to different customers, work out the tax from each invoice instead.

Client notice: starting to charge HST

TEMPLATE

Subject: HST on invoices from [Business name] starting [Date]

Hi [Client name],

A quick note to let you know that [Business name] is now registered for GST/HST. Starting [Date], my invoices will show HST at [rate] on top of my regular prices, along with my GST/HST number, [GST/HST number].

If your business is registered too, you may be able to claim this tax back; your bookkeeper or accountant can confirm. My prices before tax are not changing.

Thank you for your business. [Your name], [Business name], [Phone]

Filing-day checklist

CHECKLIST

- [ ] All sales invoices, refunds and credit notes for the period entered
- [ ] All purchase receipts entered, with tax amounts separated and checked against the documentation tiers
- [ ] Mixed-use items adjusted to the business part only
- [ ] Bank and credit card statements reconciled
- [ ] GST/HST collected: $_____ ITCs: $_____ Net tax: $_____
- [ ] Return filed and payment made from the tax account; both confirmation numbers saved
- [ ] Instalments noted in calendar (annual filers)
- [ ] Next filing and payment due dates in calendar, with reminders

Invoice tax-line examples

The GST/HST number below is a made-up example. Confirm the rate for each customer's location on CRA's current rates page.

TEMPLATE

1. Nova Scotia customer, service. Bathroom tile repair: $650.00 · HST at 14% (GST/HST no. 123456789 RT0001): $91.00 · **Total: $741.00**

2. Ontario business customer, consulting (services are often taxed where the customer is). Bill to: [Client business name], [Client address] · Terms: [Payment terms] · Website content review, 6 hours at $90.00: $540.00 · HST at 13%: $70.20 · **Total: $610.20**

3. Alberta customer, service (a GST province). Logo design package: $1,200.00 · GST at 5%: $60.00 · **Total: $1,260.00**

4. Tax-included receipt, Nova Scotia. 2 seafood chowder bowls at $11.40 each (HST included) · **Total paid: $22.80** · Includes HST at 14%: $2.80 · GST/HST no. 123456789 RT0001

5. Not yet registered (small supplier). Lawn care, September · **Total: $400.00** · No tax line and no tax number until you are registered.

Checklist

A one-page summary. Tick items off as you go, and come back each quarter.

CHECKLIST

- [ ] Check CRA's current GST/HST rates page and note the rate for my province
- [ ] Start a quarterly revenue tracker and update it every quarter
- [ ] Check both small supplier tests: last four quarters and any single quarter
- [ ] Check whether my type of business must register regardless of size
- [ ] Decide whether to register voluntarily, using the decision worksheet
- [ ] If required, register within 29 days of my first taxable sale as a non-small supplier
- [ ] Update my invoice template: GST/HST number, separate tax line, type and rate
- [ ] Set correct tax rates in my software, including out-of-province customers
- [ ] Check CRA's guidance on whether anything I sell is zero-rated or exempt
- [ ] Open a separate bank account for tax money, and move the tax portion regularly
- [ ] Ask suppliers for invoices that meet the documentation tiers
- [ ] File receipts by month and back them up
- [ ] Note my reporting period and every filing and payment due date
- [ ] File a return every period, even if it is a nil return
- [ ] Check whether I need to pay instalments (annual filers)
- [ ] Ask an accountant about the Quick Method before choosing it
- [ ] Keep records for six years from the end of the last tax year they relate to
- [ ] Book a yearly review with an accountant

NOTE

This checklist is general information, not tax advice. Confirm every rule and date at canada.ca/revenue-agency or with an accountant.

Where to learn more

These sources are official and free. Search their sites for the topics listed, because page addresses change.

Canada Revenue Agency: canada.ca/revenue-agency. Search for GST/HST rates; registering and who must register; the small supplier rule; place-of-supply rules; input tax credits and documentation requirements; reporting periods, filing and payments; instalments; the Quick Method; keeping records, including electronic records; changing a return; the Voluntary Disclosures Program; and CRA's online services for businesses. CRA also has phone lines for business enquiries. Have your Business Number ready, and write down the date, the agent's name or ID, and what you were told.

Your province. If you sell into British Columbia, Saskatchewan, Manitoba or Quebec, check that province's government website for its own sales tax rules. For Nova Scotia business information, start at **novascotia.ca**.

Talk to a professional. An accountant or bookkeeper can help with registration decisions, multi-province sales, mixed taxable and exempt sales, the Quick Method, and catching up on returns. For serious problems, such as several years of unfiled returns or a possible voluntary disclosure, consider a tax lawyer as well.

When you call CRA or meet an accountant, bring your Business Number, your quarterly revenue tracker, your last few returns and any letters. Useful questions to ask: Am I charging the right rate to each customer? Is anything I sell zero-rated or exempt? Is my reporting period still right for me? Would the Quick Method suit my numbers? Are my receipts good enough to support my ITCs?

> **NOTE**
>
> Last reminder: this guide is general information, not tax advice. GST/HST rules and rates change. Confirm what applies to you at canada.ca/revenue-agency before you act.